

Netflix, Inc. (NFLX): A Company Analysis

Mario P. Nonog Jr.

Golden Gate University

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Dr. Anitha Manohar

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Abstract

This report presents a comprehensive financial analysis of Netflix, Inc. (NASDAQ: NFLX), the global streaming leader serving more than 325 million paid subscribers as of fiscal year 2025.

The analysis examines three years of financial ratio performance and benchmarks Netflix against The Walt Disney Company (NYSE: DIS) as its primary comparable. Netflix's weighted average cost of capital is calculated at approximately 16.79%, derived from a cost of equity of 17.34% via the Capital Asset Pricing Model using a calculated beta of 1.5025, and a pre-tax cost of debt of 5.00% sourced from FINRA bond data. Capital structure analysis documents a structural shift over five years, with common equity now representing 66.4% of total invested capital, up from approximately 41.2% in fiscal year 2020. A forward-looking discussion examines the advertising tier, live sports strategy, gaming, and key regulatory risks. The analysis concludes with a Buy recommendation, supported by a return on equity of 41.26% that substantially exceeds the firm's weighted average cost of capital and by an advertising revenue stream that remains in its early stages.

Keywords: Netflix, WACC, beta, capital structure, comparable company, streaming media

Company and Industry Description

Introduction

Netflix, Inc. (NASDAQ: NFLX) is a global entertainment services company headquartered in Los Gatos, California, serving more than 325 million paid subscribers as of fiscal year 2025. The company is described in its own filings as one of the world's leading entertainment services, offering TV series, films, games, and live programming across a wide variety of genres and languages (Netflix, Inc., 2026a). Founded in 1997 by Reed Hastings and Marc Randolph as a DVD-by-mail service, Netflix launched its streaming platform in 2007 and began producing original content in 2013 with the debut of House of Cards. Today, the company produces hundreds of original titles annually in dozens of languages.

Business Model and Industry

Netflix's business model is subscription-based. Its FY2025 Form 10-K reports monthly plan pricing ranging from approximately \$1 to \$37 per month in U.S.-dollar equivalent terms across global markets (Netflix, Inc., 2026a). For the fiscal year ended December 31, 2025, Netflix reported total revenues of \$45.2 billion, representing 16% year-over-year growth, with operating income of \$13.33 billion and an operating margin of 29.5% (Netflix, Inc. [Q4 Shareholder Letter], 2026b). The advertising-supported tier surpassed 190 million monthly active viewers globally by November 2025, with advertising revenue growing approximately 2.5 times year-over-year (Hayes, 2025). The global media streaming market was valued at approximately \$145.9 billion in 2025 and is projected to expand to \$158.1 billion in 2026 (The Business Research Company, 2025). Netflix's primary competitors include Amazon Prime Video, Disney+, Hulu, Apple TV+, and HBO Max.

Recent Major Developments

In December 2025, Netflix announced a definitive agreement to acquire Warner Bros.'s film and television studios along with the HBO and Max streaming services in a transaction valued at approximately \$82.7 billion (Netflix, Inc. [Investor Relations], 2025). The deal was terminated before closing, with Netflix receiving a \$2.8 billion termination fee recognized in first-quarter 2026 results (Deadline, 2026). Separately, Netflix reported first-quarter 2026 revenues of \$12.25 billion, a 16% year-over-year increase that exceeded analyst estimates; however, the stock declined approximately 10% in after-hours trading as investors reacted to second-quarter guidance projecting growth deceleration and the announced departure of co-founder Reed Hastings from the board of directors (Deadline, 2026; The Motley Fool, 2026).

Financial Statements Analysis

Observation 1: Operating Leverage Driving Margin Expansion

Netflix's Consolidated Statement of Operations for fiscal year 2025 demonstrates meaningful operating leverage at scale. Total revenues increased 16% year over year from \$39.0 billion to \$45.2 billion, while operating income grew at a faster 28% rate, rising from \$10.4 billion to \$13.3 billion. Operating margin expanded from 26.7% to 29.5%, a gain of 280 basis points in a single fiscal year (Netflix, Inc. [Q4 Shareholder Letter], 2026b). Content amortization, the largest cost component at \$16.4 billion, does not scale proportionally with incremental revenue, so as subscriber and pricing growth continues, profits compound faster than revenue. This expanding margin trajectory lowers the earnings volatility premium that investors require and directly supports the company's cost of equity estimate.

Observation 2: Free Cash Flow Confirms Earnings Quality

Netflix generated operating cash flow of \$10.15 billion and free cash flow of approximately \$9.46 billion in FY2025 (operating cash flow less capital expenditures of \$688 million), against reported net income of \$10.98 billion, yielding an FCF-to-net-income conversion ratio of approximately 86% (Netflix, Inc. [Q4 Shareholder Letter], 2026b). The near-parity between content amortization (\$16.4 billion) and cash content additions (\$17.1 billion) confirms that accounting income is broadly consistent with underlying cash generation and that Netflix is not inflating earnings through aggressive content capitalization. Demonstrating this earnings quality matters: the company used its \$9.46 billion in FCF to repurchase \$9.13 billion of its own shares, returning nearly all free cash flow to shareholders while maintaining a \$9.03 billion cash balance.

Financial Ratio Analysis**Comparable Company Selection**

The Walt Disney Company (NYSE: DIS) was selected as the primary comparable for this analysis because it competes directly with Netflix in streaming, operating Disney+, Hulu, and ESPN+ as competing subscription platforms, produces original content at comparable scale, and has centered its forward strategy on direct-to-consumer streaming revenue. Alternative comparables were rejected: Amazon Prime Video, Peacock, and Apple TV+ are divisions of parent companies whose consolidated financials are dominated by unrelated businesses (cloud computing, cable infrastructure, and consumer hardware), making ratio comparisons meaningless at the parent level. Warner Bros. Discovery's financials are distorted by merger-related impairments. Disney's consolidated financials, while inclusive of theme parks, represent the most structurally comparable publicly traded company for this analysis.

Trend Analysis: Return on Equity and Debt-to-Asset Ratio

Two ratios were selected to anchor the trend analysis: return on equity (ROE) and the debt-to-asset ratio. Their interaction reveals the most complete picture of Netflix's financial direction.

	NFLX FY23	NFLX FY24	NFLX FY25	DIS FY23	DIS FY24	DIS FY25
Return on Equity	26.3%	35.2%	41.3%	2.4%	5.0%	11.3%
Debt-to-Asset Ratio	32.0%	28.6%	27.4%	22.6%	23.4%	21.3%

Table 1. Netflix and Disney ROE and Debt-to-Asset Ratio, FY2023–FY2025

Netflix's ROE nearly doubled over three years, rising from 26.3% to 41.3%, while the debt-to-asset ratio simultaneously declined from 32.0% to 27.4%. This combination is analytically significant: a company can mechanically improve ROE by increasing financial leverage, but Netflix's trajectory demonstrates genuine operational improvement. The equity base expanded from \$20.6 billion to \$26.6 billion through accumulated retained earnings while debt financing decreased. Disney's ROE improved from 2.4% to 11.3% over the same period, reflecting recovery from write-downs and streaming investment losses. However, Netflix's FY2025 ROE exceeds Disney's by more than 30 percentage points, and the gap widened across each year measured.

Cost of Capital Analysis

Beta and Systematic Risk

Beta was calculated for Netflix using 60 months of historical monthly return data (July 2021–June 2026) for Netflix stock (NFLX) and the SPDR S&P 500 ETF (SPY) as the market proxy. The slope of the linear regression of Netflix returns against SPY returns yields a beta of

1.5025. Disney's beta sourced from Yahoo Finance as of June 2026 is 1.39 (Yahoo Finance, 2026). Netflix's higher beta means it amplifies market movements by approximately 1.50 times; Disney's 1.39 does so at a slightly lower magnitude. For a risk-averse investor, Disney is the more conservative choice, demanding a CAPM-required return of 16.37% compared to Netflix's 17.34%, a spread of 97 basis points. However, Netflix's higher systematic risk has been rewarded: its ROE of 41.26% in FY2025 substantially exceeded Disney's 11.3%.

CAPM, Cost of Debt, and WACC

The cost of equity was estimated using the Capital Asset Pricing Model with a risk-free rate of 4.392% (CBOE 10-Year Treasury Yield, ^TNX), a market return of 13.008% (annualized average S&P 500 ETF return over the 60-month sample), and a beta of 1.5025: $r_s = 4.392\% + 1.5025 \times (13.008\% - 4.392\%) = 17.34\%$. The pre-tax cost of debt of 5.00% was sourced from the yield to maturity on a Netflix senior note (maturity June 15, 2030) sourced from the FINRA Bond Center. WACC was calculated using market-value weights: long-term debt of \$13,464 million against a market capitalization of \$306,572 million ($\$72.82 \times 4,210$ million shares), giving a debt weight of 4.21% and equity weight of 95.79%.

Component	Value
Weight of Debt (wd)	4.21%
Weight of Equity (ws)	95.79%
Pre-Tax Cost of Debt (rd)	5.00%
Effective Tax Rate (T)	13.69%
Cost of Equity (rs)	17.34%
WACC = $wd \times rd \times (1-T) + ws \times rs$	$\approx 16.79\%$

Table 2. Netflix WACC Components, FY2025

The resulting WACC of approximately 16.79% represents Netflix's hurdle rate. Netflix's FY2025 ROE of 41.26% exceeds this threshold by approximately 24 percentage points, indicating that the company is generating substantial economic value above its cost of capital.

Dividend Policy

Netflix has never paid a cash dividend to common shareholders. As of mid-2026, the trailing twelve-month dividend payout remains \$0.00 per share (Nasdaq, 2026). Rather than dividends, Netflix returns capital through share repurchases; in FY2025, the company repurchased \$9.13 billion of its own shares, returning nearly all of its \$9.46 billion in free cash flow to investors while maintaining a \$9.03 billion cash balance. Three factors explain this approach: the company generated negative free cash flow from approximately 2015 through 2021, making dividends structurally impossible during the content-investment phase; management has continued to prefer the discretionary flexibility of buybacks over the long-term commitment of dividend payments; and the potential future need for elevated content or technology investment makes it premature to initiate a fixed distribution. Whether Netflix eventually pays a dividend will depend on the stability of its free cash flow relative to its ongoing investment needs.

The contrast with Disney illustrates how different this philosophy is from a mature income-oriented entertainment company. Disney suspended its dividend entirely in 2020, reinstated it in fiscal year 2023 at \$0.30 per share semi-annually, raised the annual total to \$0.75 per share in fiscal year 2024, and set the annual rate at \$1.00 per share in fiscal year 2025, a 33% increase year-over-year driven by the streaming segment's return to profitability (Digrin, 2026). Netflix deliberately maintains a growth-company capital allocation philosophy, while Disney is reestablishing the income-stock posture it held before the pandemic.

Capital Structure

Netflix's FY2025 balance sheet reveals a two-component capital structure consisting of long-term debt and common equity. The company has no preferred stock outstanding, though authorized preferred shares remain unissued as a standard corporate governance mechanism.

Component	Dollar Value (M)	Weight
Long-Term Debt	\$13,464	33.6%
Preferred Stock	\$0	0.0%
Common Equity	\$26,615	66.4%
Total Capital	\$40,079	100.0%

Table 3. Netflix Capital Structure, FY2025 (Book Value)

This structure has transformed significantly over five years. In fiscal year 2020, long-term debt stood at approximately \$15,809 million (58.8% of total capital) while common equity was \$11,065 million (41.2%), making Netflix a debt-heavy firm (SEC EDGAR, 2021). By fiscal year 2025, equity represents two-thirds of the capital base. Two factors drove this shift. First, free cash flow turned sustainably positive beginning in 2022, reaching \$9.46 billion in FY2025, eliminating the need to issue new debt and allowing the company to reduce gross long-term debt from \$15.8 billion to \$13.5 billion over five years (Netflix, Inc. [Q4 Shareholder Letter], 2026b). Second, net income grew from \$2.76 billion in FY2020 to \$10.98 billion in FY2025, nearly fourfold, producing \$15.6 billion in retained earnings that compounded directly into total equity with no dividend payments to offset the accumulation (Netflix, Inc., 2026a). The result is a capital structure that increasingly resembles a mature, high-profitability technology firm: conservatively leveraged, equity-dominant, and self-financing.

Forecasting

Growth Drivers

The most consequential near-term catalyst is the monetization of the advertising-supported tier. As of May 2026, this plan had surpassed 250 million monthly active viewers globally, with over 60% of new signups in eligible markets choosing the ad-supported option (The Wrap, 2026). Netflix is on track to generate approximately \$3 billion in advertising revenue in 2026, double its 2025 figure, and has set a long-term target of roughly \$9 billion in annual ad sales by 2030 (ALM Corp, 2026). Live sports represent a second major lever: Netflix secured a 10-year exclusive global agreement for WWE Raw beginning January 2025 (NPR, 2025), expanded its NFL agreement through 2029 adding five broadcast windows per season (Variety, 2026), and secured a three-year MLB deal and exclusive FIFA Women's World Cup rights for 2027 and 2031. Live sports drive ad-tier subscriptions and reduce churn by anchoring viewers on a recurring weekly basis. Gaming remains a longer-term, higher-uncertainty opportunity, with management pursuing a cloud-first strategy framed as a retention tool rather than a standalone revenue line (Game Developer, 2026).

Key Risks

Subscriber growth faces structural headwinds in mature markets where U.S. and Canadian penetration exceeds 70% of broadband households, and the tailwind from the 2023 password-sharing crackdown is largely exhausted (Medium / Equity Analyst Hub, 2025). The failed Warner Bros. acquisition, which yielded a \$2.8 billion termination fee, signals that large-scale content M&A faces real constraints, leaving organic investment as the primary content growth lever. Q1 2026 guidance indicating deceleration to approximately 13% revenue growth contributed to a significant stock decline (Deadline, 2026). Regulatory pressure from the

European Commission's proposed 20% local content quota would require substantially more European programming investment and constrain global content strategy flexibility (CineD, n.d.). Rising live sports rights costs represent a large, fixed, multi-year financial commitment that could compress operating margins if advertising or subscriber growth underperform projections.

Conclusion

After conducting a comprehensive financial analysis of Netflix, Inc. across its ratio performance, capital structure, cost of capital, risk profile, and strategic outlook, my recommendation is to Buy Netflix common stock. This conclusion reflects the convergence of multiple quantitative indicators pointing to a company generating substantial value above what the market requires to compensate investors for its risk.

The most compelling evidence is the spread between Netflix's return on equity and its weighted average cost of capital. This analysis calculated a WACC of approximately 16.79%, the minimum return Netflix must deliver to satisfy both its debt and equity holders. Against that hurdle, Netflix posted an ROE of 41.26% in FY2025, up from 26.27% three years earlier. That approximately 24 percentage-point spread is a textbook indicator of economic value creation, and it is not the product of leverage; the debt-to-asset ratio declined from 32.0% to 27.4% over the same period, confirming that gains stem entirely from operational improvement.

The second reason centers on revenue transformation. The advertising-supported tier has reached 250 million monthly active viewers and is tracking toward \$3 billion in revenue in 2026 alone, against a \$9 billion long-term target by 2030 (ALM Corp, 2026; The Wrap, 2026). This advertising overlay is building on a subscription business already delivering a 24.30% net profit margin, up from 16.04% three years ago. This combination, a high-margin subscription base plus a rapidly scaling second revenue stream, represents a diversification story that I believe is not yet

fully reflected in the current valuation. The acknowledged risks, including a beta of 1.5025, slowing growth in saturated markets, and constraints on large-scale M&A, do not outweigh a business generating outsized returns on equity, expanding margins year after year, and reducing leverage simultaneously. On those grounds, the stock earns a Buy.

Appendix A

Netflix, Inc. Financial Ratio Summary, FY2023–FY2025

Ratio	FY2023	FY2024	FY2025
LIQUIDITY RATIOS			
Current Ratio	1.15x	1.22x	1.19x
Quick Ratio	1.15x	1.22x	1.19x
ASSET MANAGEMENT RATIOS			
Total Asset Turnover	0.69x	0.73x	0.81x
Fixed Asset Turnover	9.45x	10.55x	10.73x
DEBT MANAGEMENT RATIOS			
Debt-to-Asset Ratio	32.0%	28.6%	27.4%
Times Interest Earned	9.94x	14.49x	17.16x
PROFITABILITY RATIOS			
Operating Margin	20.62%	26.71%	29.49%
Profit Margin	16.04%	22.34%	24.30%
Basic Earning Power	14.27%	19.43%	23.97%
Return on Assets (ROA)	11.10%	16.24%	19.75%
Return on Equity (ROE)	26.27%	35.21%	41.26%
MARKET VALUE RATIOS			
Earnings Per Share (EPS)	N/A	N/A	\$2.61
Price/Earnings (P/E) Ratio	N/A	N/A	27.92x
Market-to-Book (M/B) Ratio	N/A	N/A	11.52x

Note. All ratios calculated from Netflix FY2023–FY2025 annual 10-K filings and Q4 2025

Shareholder Letter (Netflix, Inc., 2026a, 2026b). Market value ratios use stock price of \$72.82

(June 23, 2026) and 4,210 million shares outstanding (June 25, 2026).

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Appendix B: Artificial Intelligence Usage Disclosure

AI Tools Used

This project utilized Claude (Anthropic), accessed through the Claude desktop application, as an analytical and writing assistant throughout the research and drafting process.

Summary of Major Prompts Used

The following paraphrases the key requests made to Claude during this project:

1. Identify the correct financial data sources for Netflix and help interpret income statement, balance sheet, and cash flow figures from the FY2025 10-K and Yahoo Finance exports.
2. Explain which formulas apply to each ratio in the Excel template and help set up the correct cell references for inputs including interest expense, total assets, and effective tax rate.
3. Recommend a comparable company for Netflix, explain why that company was chosen over alternatives such as Amazon, Peacock, and Apple TV+, and run the same trend analysis on two shared ratios.
4. Compare Netflix's calculated beta to Disney's Yahoo Finance beta, explain what each means in plain terms, and tie both figures back to CAPM-required returns and systematic risk.
5. Research Netflix's current developments, including the advertising tier, live sports deals, gaming strategy, and regulatory risks, and draft a balanced Forecasting section with citations.
6. Draft individual report sections (Company Description, Financial Statements, Ratio Analysis, Cost of Capital, Dividend Policy, Capital Structure, and Conclusion) in a graduate-level voice with APA citations.

7. Assemble all completed sections into a single APA-formatted Word document with running head, page numbers, tables, and a References page.

Reflection

I used Claude as a working assistant throughout this project, not as a replacement for my own judgment or analysis. The areas where it helped most were interpreting financial statement line items, particularly distinguishing gross interest expense from net interest expense in the income statement, identifying which 10-K footnotes contained the long-term debt schedule, and setting up the correct Excel cell references for ratios like Basic Earning Power. Claude also accelerated the research and drafting of the Forecasting section by synthesizing current news about Netflix's advertising business and live sports strategy.

That said, I remained responsible for verifying every number. I caught several errors during the process: Claude initially pulled net interest figures from the income statement rather than gross interest expense from the 10-K footnotes, and an early version of my Excel file reflected net income from the wrong fiscal year. I corrected these by cross-referencing the FY2025 Form 10-K directly and confirming balance sheet figures against the actual filing. I also looked up the bond yield on FINRA myself, as Claude was unable to access that site directly, and I entered all data into Excel personally.

One limitation I encountered is that Claude's knowledge of recent events required verification. Figures around the Warner Bros. Discovery deal status, Q1 2026 results, and ad tier subscriber counts shifted during the project, and I confirmed current information through Yahoo Finance, Netflix's investor relations page, and published news sources. Overall, the tool accelerated my workflow and deepened my conceptual understanding, but the analytical decisions, data verification, and final written judgments were entirely my own.